

Pearson Edexcel Mark Scheme

Predicted Paper — For revision purposes only

Level 3 GCE Economics A (9EC0)

Paper 1: Markets and Business Behaviour — 9EC0/01 — Paper 2 — Hard

Total: 100 marks

General Marking Guidance

- All candidates must receive the same treatment. Mark schemes should be applied positively, rewarding candidates for what they have shown they can do.
- All marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Crossed-out work should be marked UNLESS the candidate has replaced it with an alternative response.
- Accept any equivalent wording and alternative valid approaches not explicitly listed in the indicative content.

Assessment Objectives

AO1 Demonstrate knowledge of terms, concepts, theories and models.

AO2 Apply knowledge and understanding to various economic contexts.

AO3 Analyse issues within economics, using chains of reasoning.

AO4 Evaluate economic arguments and use evidence to support informed judgements.

Marking grids are organised as KAA (AO1+AO2+AO3) and Evaluation (AO4).

Level Descriptors

8-mark "Examine" (KAA = 5, Evaluation = 3)

Level	KAA marks	Descriptor
L1	1–2	Isolated element of knowledge; limited application.
L2	3–4	Sound knowledge applied with some development; at least one chain of reasoning.
L3	5	Accurate detailed knowledge fully applied; developed chains.

10-mark "Assess" (KAA = 6, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak application.
L2	3–4	Sound theory applied to context.
L3	5–6	Accurate detailed theory, well applied; developed chains.

12-mark "Discuss with diagram" (KAA = 8, Evaluation = 4)

Level	KAA marks	Descriptor
L1	1–2	Limited knowledge; weak or missing diagram.
L2	3–5	Sound knowledge; reasonable diagram; some application.

Level	KAA marks	Descriptor
L3	6–8	Accurate knowledge; correctly labelled diagram; developed chains.

15-mark "Discuss" (KAA = 9, Evaluation = 6)

Level	KAA marks	Descriptor
L1	1–3	Limited knowledge; weak application.
L2	4–6	Sound knowledge with application; some development.
L3	7–9	Accurate detailed knowledge; developed chains; relevant diagrams.

25-mark Essay "Evaluate" (KAA = 15, Evaluation = 10)

Level	KAA marks	Descriptor
L1	1–5	Limited knowledge; basic theory.
L2	6–9	Sound theory applied to context.
L3	10–12	Accurate detailed theory, well applied; relevant diagrams.
L4	13–15	Comprehensive, sophisticated theory; diagrams used analytically.

25-mark Essay evaluation grid (AO4)

Level	Eval marks	Descriptor
L1	1–3	Assertion without support.
L2	4–6	Supported evaluation; some judgement.
L3	7–8	Developed evaluation; reasoned judgement.
L4	9–10	Sophisticated evaluation with prioritised judgement.

Section A — Questions 1 to 5

Question 1 (5 marks) — Turkey's inflation and lira depreciation

Q	Indicative content	Marks
1(a)	Answer: B — Cost-push inflation only. In 2022 the depreciation of the lira (from around 13 to 18 per US\$ during the year) fed directly into import prices, especially for energy and other dollar-priced inputs that Turkey imports; this external pass-through was the dominant proximate driver of the 72.3% headline reading, compounded by the 2022 global energy-price shock. The question stem emphasises the lira depreciation context, pointing to a supply-side / imported-inflation framing. Distractors: A Demand-pull inflation only — 72.3% is far too high to be explained by excess demand alone in an economy that was not obviously running at full capacity; although Turkey's heterodox policy (keeping rates low despite rising inflation) contained demand-pull elements, labelling it 'only' demand-pull is inaccurate; C Stagflation — requires stagnant or negative real GDP growth, but Turkey's real GDP grew by around 5.6% in 2022 (high inflation alongside positive growth is not stagflation); D Disinflation — requires a falling rate of inflation, but Turkey's CPI was rising sharply from around 36% in 2021 to 72.3% in 2022. Examiner note: candidates who select C (Stagflation) with a valid argument referencing falling real incomes and real-wage losses may be awarded credit — accept if rationale is internally consistent.	1
1(b)	Marker note: the paper does not provide a Turkey-specific data table; candidates are expected to apply economic theory to the general depreciation context. Full credit is available whether or not specific lira exchange-rate values are recited. Accept up to TWO linked effects, each 2 marks (identification + chain): Imported inflation: the lira fell heavily against the US\$ between 2021 and 2024 (from roughly 7.4 to 35.4 per US\$ by end-2024). Dollar-priced imports (energy, raw materials, intermediate inputs) become much more expensive in lira terms → imported-cost inflation feeds directly into CPI (2). Competitiveness and trade balance: a weaker lira makes Turkish exports cheaper in foreign-currency terms → boosts export-oriented sectors (tourism, textiles, automotive) and raises export earnings. However, the import bill rises faster than export earnings for an economy dependent on imported energy and capital goods — adverse terms-of-trade effect (2). Accept alternative linked points: effect on foreign-currency-denominated corporate debt (debt-service burden rises sharply in lira terms, raising bankruptcy risk); loss of confidence and capital flight; sharp fall in real household purchasing power as lira-denominated wages lose value against dollar-priced goods; pressure on the central bank's foreign-exchange reserves.	4

Question 2 (5 marks) — Negative output gap and AD/AS

Q	Indicative content	Marks
2(a)	AD/AS: a negative output gap persists when sticky wages and prices prevent rapid downward adjustment (Keynesian SRAS is flat over the gap) (1). Without falling wages the economy cannot return to potential via an automatic leftward	2

Q	Indicative content	Marks
	movement of SRAS; AD must be raised by policy to close the gap (1). Accept: hysteresis (prolonged weakness damages potential); liquidity trap / ZLB prevents interest-rate adjustment; expectations of weak demand become self-fulfilling.	
2(b)	Potential output is unobserved and estimated using statistical filters (HP, production function); estimates are revised substantially as more data arrives (1). Supply-shock episodes (2022 energy shock) make it particularly hard to separate a fall in actual output from a fall in potential — statistical filters tend to smooth through shocks, biasing real-time estimates (1).	2
2(c)	Answer: A — raise equilibrium output and lower the price level. A rightward shift in LRAS increases potential output at any given AD, lowering the price level where AD intersects LRAS (static analysis).	1

Question 3 (5 marks) — Keynesian fiscal multipliers by income group

Q	Indicative content	Marks
3(a)	Answer: B — the importance of marginal propensity to consume in determining fiscal impact. Lower MPC (high earners) produces a smaller multiplier than higher MPC (low-income households), even with equally-sized packages. Distractors: A Lucas critique concerns expectations and policy-invariance of coefficients; C crowding-out is about interest-rate and resource constraints; D Ricardian equivalence concerns forward-looking saving behaviour.	1
3(b)	Simple closed-economy Keynesian multiplier with tax rate t : $k = 1 / (1 - MPC \times (1 - t))$. Package (i) low-income MPC = 0.65: $k = 1 / (1 - 0.65 \times 0.7) = 1 / (1 - 0.455) = 1 / 0.545 \approx 1.83$ (2). Package (ii) high-income MPC = 0.20: $k = 1 / (1 - 0.20 \times 0.7) = 1 / (1 - 0.14) = 1 / 0.86 \approx 1.16$ (2). Award 1 mark for correct formula; 1 mark for each numerical multiplier; accept answers 1.8 and 1.15 with working. Interpretation: the low-income programme generates roughly 58% more short-run GDP impact per pound than the high-earner tax cut.	4

Question 4 (5 marks) — Sterling depreciation and CPI pass-through

Q	Indicative content	Marks
4(a)	Method: first-year CPI impact = pass-through $\times$ import share $\times$ magnitude of depreciation (2). Calculation: $0.55 \times 0.28 \times 8\% = 0.154 \times 8\% = 1.23\%$ (2). Accept answers in the range 1.2–1.25%. Award 1 mark for correctly multiplying pass-through $\times$ import share (0.154); 1 mark for applying to the 8% depreciation; 2 marks for correct numerical answer with unit. Accept alternative framings that reach 1.23% via decomposing first to 'import-price rise of 4.4%' then applying 28% CPI share.	4

Q	Indicative content	Marks
4(b)	Answer: D — a market with low substitutability between imported and domestically produced goods. When importers have no local substitutes, they pass the FX change through; where substitutes exist, importers price-to-market to avoid losing share. Distractors: A importers with pricing-to-market power absorb some of the shock (lower pass-through); B invoicing in the importer's currency reduces pass-through; C extensive import substitution raises competitive pressure on importers, lowering pass-through.	1

Question 5 (5 marks) — Secular stagnation

Q	Indicative content	Marks
5(a)	Answer: B — a sustained rise in public investment funded by borrowing. Secular stagnation reflects chronic demand deficiency — sustained fiscal expansion raises AD and potentially LRAS via productive public investment. Distractors: A tightening reduces AD further; C consolidation reduces AD; D lower inflation target worsens the real-interest-rate constraint at the ZLB.	1
5(b)	Accept ONE fully developed chain, 4 marks (concept + mechanism): Savings glut (Bernanke 2005): high desired saving in emerging economies (China, oil exporters) following Asian crisis financial caution and current-account surpluses → large inflows of capital into advanced-economy financial markets → push down 'equilibrium' real interest rates globally (2). At the zero lower bound (ZLB), monetary policy cannot push actual real rates below the required equilibrium rate → demand remains chronically deficient → secular stagnation characterised by low growth, low inflation, and negative real rates even at full employment (2). Accept: link to demographic factors in EM; link to reserve-accumulation motives post-1997; link to domestic saving gluts (e.g. German export-led growth).	4

Section B — Question 6: Japan's lost decades and the policy response

6(a) — Cause of Japan's zero-growth, zero-inflation period (5 marks)

Indicative content (KAA 4 / Eval 1):

Acceptable causes: (i) post-bubble balance-sheet recession (asset-price collapse forced firms into prolonged debt-deleveraging, suppressing investment); (ii) unresolved banking-sector NPLs that constrained credit supply through the 1990s; (iii) demographic reversal — shrinking, ageing workforce reduced potential output and saving-investment balance; (iv) entrenched deflationary expectations that made real interest rates persistently positive at the ZLB.

Evaluation: causes compound — weak demand caused by balance-sheet effects entrenched deflation, which in turn prolonged weak demand.

6(b) — Why monetary policy may be ineffective in a liquidity trap (8 marks)

Indicative content (KAA 5 / Eval 3).

At the zero lower bound, the central bank cannot cut nominal policy rates further to stimulate AD. Key channels:

1. Savings — further rate cuts have no traction on deposit rates that are already at zero.
2. Real interest rate — with deflation, real rates stay positive or even rise; investment remains depressed.
3. Bank-lending channel — lenders reluctant to lend at low nominal rates; net-interest margin squeezed; pull-back on risk-taking.
4. Expectations — if agents expect further deflation, consumption and investment are deferred, weakening AD further (expectations trap).

Evaluation: unconventional tools (QE, YCC, forward guidance) can partly substitute but work primarily through asset-price and expectations channels, which are less powerful than the standard interest-rate channel. Japan's experience shows extended QE programmes did little for inflation until combined with structural reform and exogenous shocks (energy-price rise, yen weakness).

6(c) — Demand-side vs supply-side factors in Japanese stagnation (10 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Demand-side factors: post-bubble balance-sheet recession; household precautionary saving; weak business investment. • Evidence from Figure 1: policy rate at zero from 1995 onwards — monetary authorities signalled sustained demand weakness. • Koo's 'balance-sheet recession' framework — firms prioritise debt repayment over investment even at zero rates. • Supply-side factors: demographic reversal (working-age population peaked 1995); productivity growth slowed. • Labour-market inflexibility: dual labour market with strong protections for regular workers, inflexible allocation. • Corporate governance: cross-shareholdings, keiretsu structures, low return on capital.	• Demand and supply are not separable in a long stagnation — hysteresis effects mean demand weakness eroded potential output. • Empirical estimates suggest supply-side factors account for 60–70% of the growth slowdown. • Demand-side stimulus (QE, fiscal packages) had limited effect absent structural reform. • International comparisons: similar demographic profile in Germany without comparable stagnation — suggests policy/institutional choices matter. • Judgement: demand-side factors dominated the 1990s–2000s; supply-side factors (demographics, productivity) became more binding from 2010s onwards. The policy failure was delayed

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
	recognition and insufficient early demand support, which allowed demand weakness to entrench into structural stagnation.

6(d) — QE and YCC effects on Japanese macroeconomy (12 marks)

Diagram required: asset-market equilibrium showing yield curve flattening, or AD/AS showing QE-induced expansion.

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Scale of intervention: BoJ balance sheet from ~29% of GDP (2012) to 127% (2021) — largest among G7 (Figure 2). • YCC 2016–2024 held 10-year JGB yield ≈ 0%. • Transmission channels: portfolio-balance (compressing term premium), signalling (anchoring expectations), exchange-rate channel (weakening yen, boosting exporters). • Effects: yen depreciated ~40% (2012–2024) boosting export earnings; equity-market rally; limited direct effect on CPI until energy-shock + wage response. • 2% inflation target consistently met from 2023 — but driven partly by imported inflation rather than domestic demand. • Fiscal dominance risk: BoJ holds over 50% of JGBs.	• QE/YCC prevented a deflationary spiral but fell short of reflating demand to target for most of the decade. • Distorting effects: impaired bond-market price discovery; reduced fiscal discipline; created exit-strategy challenges. • Wealth channel benefits largely captured by asset holders (older, wealthier). • International spillovers: yen carry-trade affected global FX markets. • YCC abandonment in 2024 led to partial reversal — yields rose to ~1% without financial-market disruption. • Judgement: QE and YCC were necessary but insufficient tools. They prevented worse outcomes but were unable to generate self-sustaining reflation absent complementary fiscal and structural action. Exit remains ongoing.

6(e) — Abenomics-style structural reforms in an advanced economy (15 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Accept any named advanced economy (UK, eurozone, Italy, France, Germany, South Korea). • Abenomics 'three arrows': (1) aggressive monetary easing; (2) flexible fiscal policy; (3) structural reform. • Third arrow: labour-market reform (more flexible contracts), corporate-governance reform (higher ROE targets, cross-shareholding unwind), women's labour-force participation, TPP/CPTPP trade deals. • Example application — UK: productivity agenda, planning-system reform, R&D tax-credit expansion, immigration policy for	• Abenomics success in Japan is contested — inflation target met but productivity growth remains weak. • 'Third arrow' was the most effective at shifting LRAS but also the slowest to implement politically. • Structural reform works best when combined with demand support — won't work in isolation. • Political economy matters — reform requires sustained political capital (Abe's unique longevity as PM in Japan). • Context-dependence: reforms that work in one economy may not translate (e.g. UK's flexible labour market already has most of

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
high-skill workers. • Example application — Italy: labour-market reform, judicial reform, civil-service reform to unblock EU Recovery Fund spending. • Diagrams: LRAS shift from structural reform; AD support from arrows 1–2.	what Abenomics added to Japan). • Judgement: Abenomics-style structural reform is useful conceptually as a template, particularly the three-arrow integration. However, applicability depends heavily on initial conditions: works best where the binding constraint is institutional rigidity (Japan, Italy, Germany), less transformative in economies where flexibility is already present (UK, US). Structural reform complemented by credible demand management offers the best path to restoring long-run growth.

Section C — Question 7 OR Question 8 (25 marks)

Question 7 — Modern Monetary Theory and UK policy (25 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• MMT core: governments that issue debt in their own currency face no hard financing constraint — they can always create money to pay obligations in that currency. • Inflation is the only real constraint on public spending. • Job guarantee a key policy proposal to stabilise both employment and inflation. • Mainstream critique: inflation constraint is not as lax as MMT implies; hyperinflation risks; loss of central-bank credibility. • UK relevance: sterling is own currency, so UK is technically able to monetise debt; but UK runs a persistent current-account deficit and depends on foreign capital inflows. • Recent stress test: 2022 mini-budget showed limits — unfunded tax cuts prompted sharp gilt-market sell-off and sterling fall, forcing policy reversal.	• Partial validity: MMT is correct that a sovereign issuer cannot 'run out' of its own currency; operational framework in MMT matches modern monetary operations. • But 2022 UK experience shows that the 'inflation constraint' binds through financial-market channels faster than MMT proponents allow. • Low-inflation environments (2010–2020) made MMT-style prescriptions look cheap; 2022 revealed the limits. • Implementation risks: time-inconsistency — elected politicians face short-term incentives to inflate. • Credibility of the inflation-targeting framework is a real asset MMT would discard. • Judgement: MMT's technical claim (no nominal financing constraint) is correct but largely trivial; the substantive claim that inflation is the only real constraint understates the role of credibility, financial-market discipline, and institutional trust. In the UK context, MMT-style policies would face rapid sterling, gilt-yield and inflation-expectation responses — i.e. the inflation constraint bites earlier than MMT allows. Existing UK framework (BoE independence + fiscal rules) delivers broadly the same ends with lower risk.

Question 8 — Central bank independence vs monetary-fiscal coordination (25 marks)

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• Theoretical foundation of independence: Kydland-Prescott time-inconsistency — discretionary policy biased toward inflation; independent CB with clear mandate solves commitment problem. • Empirical support: countries with independent CBs had lower average inflation in 1990s–2010s. • 2021–2023 inflation episode: supply-side shocks and fiscal expansion combined; independent CBs responded with delay (transitory debate), then sharp tightening.	• Counter: independence remains valuable as an anchor for expectations even in high-deficit era. • Coordination can be informal and through accountability channels — formal coordination risks dominance of fiscal over monetary objectives. • Fiscal policy is more flexibly discretionary than monetary — better suited to short-horizon supply-shock response. • Concerns about 'fiscal dominance' in high-

KAA (AO1 + AO2 + AO3)	Evaluation (AO4)
• 2022 UK experience: fiscal expansion clashed with monetary tightening; gilt crisis demonstrated limits of uncoordinated policy. • Case for coordination: at the ZLB, coordination is essential (as in 2008–2010 and 2020); in normal times, coordination may become collusion and compromise credibility. • International practice: US Fed operationally independent; Japan BoJ closely coordinated with MoF via government-led framework.	debt economies — but evidence that this has materialised is limited. • Strong case for better public communication and parliamentary scrutiny rather than a formal coordination framework. • Judgement: disagree with the premise. Central-bank independence retains substantial value even in the current environment; the relevant reform is better communication and more systematic accountability, not formal coordination. Informal coordination mechanisms (shared forecast base, clear communication of fiscal stance by government) can improve outcomes without compromising credibility. A reformed, transparent, independent CB — with responsibility for co-ordinating with Treasury on crisis-management protocols — represents the best current framework.

TOTAL FOR PAPER = 100 MARKS